

Opportunity Zone Research Landscape Scan

Draft Version, Released for Comment (MAY 2026)



Executive Summary	2
Introduction	4
Setting the stage: Opportunity Zones in the Mid-2010s	5
How OZ 1.0 incentives were structured	6
How OZs 1.0 were nominated: The lenses that governors used	6
Geographic distribution	7
Level of distress	7
Political considerations	8
Parallel efforts to shape OZ designation and strategies	8
Overview of 1.0 Research and Commentary	9
Data limitations	11
Evaluating OZs 1.0 to inform 2.0: Emerging Themes	13
Concentration in investment geography	13
Adding strength to strength	14
Urban tracts attracted the vast majority of investment	15
Questions remain on the “but for” test	15
Real estate, multi-family housing dominance	15
Operating business investment didn’t substantially materialize	15
Jury out on jobs	16
Traditional community development was challenged	16
Alignment with Other Place-Based Incentives	17
Changes in OZ 2.0	18
Opportunity Zones 1.0 vs. 2.0	19
Examples of Different State and City Approaches to OZs	21
Ohio	21
Alabama	22
Michigan	22
Colorado	22
Texas	23
City, neighborhood, and project-based profiles	23
Looking Ahead	25
Bibliography	26

EXECUTIVE SUMMARY

This survey of the landscape of research and commentary into Opportunity Zones (OZs) is offered as a timely summary to inform public processes currently underway: The next round of OZ census tract designations opens on July 1, 2026, and mayors and other local leaders are advocating to align zone selection with their economic and community development strategies. This once-a-decade zone designation process, with OZs now a permanent fixture of the nation's tax code, creates high stakes for jurisdictions seeking designation of specific census tracts; businesses, property owners, and developers seeking to attract private capital investment; and communities balancing current needs, future growth, and changing economic dynamics. It is our intent to aid practitioners in putting research into action across the issues which loom large in 2026, including housing affordability, economic mobility, post-COVID local fiscal base, and the re-sorting of our economy around sectors upended by geopolitics, tariffs, artificial intelligence and other industrial and policy shifts. The designation process also comes at a time when local leaders are cognizant of how much place matters, as it has been shown to have demonstrable impact on lifetime economic mobility and public health outcomes.

This landscape scan is a draft, meant for public comment and engagement, focused on available research through March 2026. We are releasing it in draft form alongside the [OZ Designation Toolkit](#) in May 2026 to help local leaders prepare for the upcoming OZ designation process, which formally begins July 1. We welcome feedback from researchers in the field and are open to making updates and edits based on input that we receive. We plan to release a final version of the Research Landscape Scan by December, 2026, alongside an Opportunity Zone Playbook for Local Leaders which will provide a series of policy briefs and case studies to inform OZ implementation.

The original enabling legislation for OZs in 2017 did not include project-level reporting requirements, greatly limiting the availability of data on specific investments and related outcomes. This constrains the ability of researchers to fully understand the scope and impacts of OZ investments across geographies, sectors, and project types. Despite these challenges, researchers from Urban Institute, Brookings, Economic Innovation Group, Novogradac, Arnold Ventures and other think tanks and consultancies have sought to find proxies, measures, and case studies to understand the impact to date of the OZ incentive.

In collaboration with Accelerator for America, Rvesta Consulting has reviewed and summarized the literature, representing a broad range of analyses and perspectives, which helped to inform the recommendations put forward in the Opportunity Zone Designation Toolkit for Local Leaders.

Key findings include:

- OZs have attracted over \$100 billion of [direct investment](#), making OZs one of the largest ongoing place-based economic development programs in U.S. history measured by private capital mobilized.
- The market-based nature of the incentive meant that OZ investments, like other investment capital, often took the path of least resistance towards those deals with the highest potential return relative to the risk. Projects located in OZ census tracts that were designed to meet community needs for affordable or workforce housing, job creation, or clean energy often required the intentionality of investors seeking social impact alongside a financial return and/or aligned local policies and additional incentives to make the deals pencil.
- The selection of tracts in OZ 1.0 differed significantly across states and responded to myriad factors, including geographic and jurisdictional distribution, greatest need or level of distress, and political considerations. Regardless of approach to the selection process across states, investment outcomes were closely linked to the market viability of the zones selected.
- OZ investment was highly concentrated geographically:
 - The vast majority of investments flowed to a small percentage of zones. Roughly 75% of OZ investment flowed to zones with the top 20 percent of commercial investment activity.
 - Fast growth states and metro areas attracted the greatest amount of OZ investment. Within cities, the areas that already attracted some level of private investment were more likely to attract OZ capital.
 - Recent analysis indicates that [72.4% of zones](#) within the 50 states and D.C. had received investment by the end of 2022. More than a quarter of zones received no investment at all.
 - Over 90% of investment went to urban rather than rural areas, despite 45% of all OZ eligible tracts being located in rural areas.
- OZ investment was highly concentrated sectorially:
 - Investment concentrated in real estate, particularly multifamily residential, with estimates that up to 75% of money invested in the first round of OZs went to real estate.
 - Operating businesses received under 3% of OZ equity investment. Challenges included ensuring compliance with meeting the federal criteria that define OZ operating businesses and the potential for higher complexity and/or risk of business investments relative to real estate projects.
- Evidence on the ability of OZs to drive more specific community impacts is mixed:
 - While net new job creation in OZ 1.0 is not yet fully understood, early evidence suggests measurable employment growth in designated areas is as likely to have been filled by commuters or new residents as by existing community members.

- In February 2026, EIG released an analysis that the OZ incentive increased new housing construction by 70% in designated areas, generating more than 416,000 new residential addresses.
- For places with weaker market and economic fundamentals, being highly organized and active in cultivating investment paid off. Places like Alabama and Ohio at the state level and Erie, PA at the city level realized dividends from being highly intentional, particularly in engaging local anchor investors.
- The research landscape overview includes anecdotal examples of projects that effectively leveraged OZ equity capital to achieve community priorities such as developing workforce, veterans, and senior housing units; retaining and creating jobs for local residents; or supporting revitalization and local business growth.

States that layered complementary incentives with reporting requirements (*such as Ohio, which is the only state that chose to make their data publicly available*) were able to secure more data on project-level activity and performance. This allowed for a better understanding of the impacts of OZs, which may inform future program design and allow for greater responsiveness by state and local policymakers. Some researchers expressed concerns that studies of the impacts of OZ investments are premature, since many of the measures of community impact (such as poverty rate, median income and home values) may take years to show up in the data.

For OZ 2.0, the new federal reporting requirements will provide deeper insights into the nature of OZ investments, with Treasury publishing annual reports on the census tracts receiving investment, investment amounts by industry sector, employment in OZ businesses, and number of residential units created. With the tool being made permanent, researchers are interested to see if the public reporting will change the behavior of investors.

INTRODUCTION

Mayors and local leaders across the country are navigating an increasingly complex and interrelated set of economic challenges. Supply constraints have pushed access to quality housing out of reach for many working- and middle-class families. When workers cannot afford to live near job centers, cities lose economic competitiveness, commute burdens and climate impacts grow, and low-income residents are displaced from their communities. Furthermore, distressed neighborhoods, specifically those with high poverty rates and declining business activity, struggle to attract the private investment that generates jobs, supports small businesses, and builds wealth for residents.

At the same time as they are combating the dual crises of housing affordability and chronically underinvested neighborhoods, many local leaders are being called upon to position their regions for attracting investment and employment in high-growth sectors, while also managing disruptions in labor markets due to the rise of AI. Municipalities face tightening fiscal conditions,

with the need to grow or sustain their tax base in the face of uncertain federal funding and state-level restrictions on certain revenue streams.

It is within this context that the 2026 round of Opportunity Zone designations (“OZ 2.0”) is taking shape. As a response to long-term disinvestment, Opportunity Zones are a powerful but fundamentally market-driven tool. The OZ incentives are designed to influence individual investor behavior and shape where private capital flows, but they do not inherently ensure alignment with local goals or community needs. With a new round of ten-year OZ designations to be selected by Governors and certified by the U.S. Treasury Department by the end of this year, cities have a rare opportunity to influence that flow of investment over the next decade. Mayors and local leaders who make a compelling case for priority tracts to be selected will be better positioned to see their growth strategies and community needs reflected in OZ 2.0 designations.

The following landscape review of the available research to date on OZs, is intended to inform mayors and local leaders as they prepare to make their case to governors for census tract designations beginning July 1, 2026. It provides a synthesis of existing research from a range of academic, non-profit, and consultant sources and diverse perspectives on the impacts of OZ designation on communities, drawing on literature published through March 31, 2026. The impact of OZs 1.0 is still emerging, and the literature suggests that outcomes varied significantly across geographies, sectors and development types. This review aims to distill what the research shows to date, outline lessons learned, and explore areas of consensus as well as debate.

SETTING THE STAGE: OPPORTUNITY ZONES IN THE MID-2010s

OZs emerged at a moment shaped by the uneven recovery from the Great Recession and a growing recognition that traditional economic development tools, as well as private capital investment, were not reaching many of the country’s most distressed communities. By the mid-2010s, [more than 50 million Americans lived in areas characterized by persistent poverty, weak labor market attachment, and underinvestment](#). At the same time, U.S. investors were [holding trillions of dollars in unrealized capital gains](#)—capital that, under existing tax policy, often remained idle or was deployed in already high-performing markets. Concentration of wealth and investment in so-called [superstar cities](#) was already a global phenomenon that [accelerated](#) in the second decade of the twentieth century, disproportionately concentrating wealth and investment in a handful of cities nationally.

The Opportunity Zone policy was conceived as [a mechanism to bridge this gap](#) in the early 2010’s by tech entrepreneur Sean Parker. The concept was formally proposed in a 2015 [white paper](#) by Jared Bernstein of the Center on Budget and Policy Priorities and Kevin Hassett of the American Enterprise Institute and published by the Economic Innovation Group (EIG), an organization funded in part by Parker. The idea gained traction as a market-oriented approach to place-based development—one that would rely on private capital, rather than direct public expenditure, to drive investment into underserved communities. The OZ incentive was ultimately

codified into legislation cosponsored by Senators Tim Scott and Cory Booker and enacted as a bipartisan provision of the [Tax Cuts and Jobs Act of 2017](#) (Public Law No. 115-9).

How OZ 1.0 incentives were structured

At its core, the intention of the OZs policy was straightforward: to [mobilize private investment into economically distressed areas](#) by offering tax advantages tied to long-term investment. In contrast to many traditional economic and community development programs, which allocate resources to state and local public agencies or non-profit organizations through competitive applications or formula funding with specific guidelines on eligible uses of funds, OZs were designed to reduce friction and allow investors to determine how to deploy their capital, within a federally defined geography of need.

Investors who reinvest eligible capital gains into Qualified Opportunity Funds (QOFs), specialized investment vehicles created to deploy capital into Opportunity Zone projects, are eligible for a series of tax benefits. These include the temporary [deferral of capital gains taxes, partial reductions](#) in tax liability for investments held over medium-term horizons, and, most notably, the elimination of taxes on any new gains generated from investments held for at least ten years. To qualify, QOFs must direct at least 90% of their assets into OZ properties or businesses, ensuring that capital is substantively deployed within designated areas. Early on, the Trump Administration [expressed hope](#) that the incentive would not only spur new construction in blighted areas, but investment in operating businesses which would create jobs where they were most needed.

Eligibility for census tracts to be designated as OZs was determined based on existing federal definitions of economic distress. Census tracts qualified if they met a low-income community threshold, defined as a poverty rate of at least 20% or median family income at or below 80% of the area median income (AMI). States were permitted to nominate up to 25% of their eligible tracts for designation, with limited flexibility to include a small number of adjacent, slightly higher-income tracts (subject to a 125% AMI cap). This framework created a large but bounded universe of potential zones, within which governors exercised significant discretion.

The mechanics of designation were both rapid and decentralized. Governors were required to submit their nominations to the U.S. Treasury by March 21, 2018, leaving a relatively short window for analysis, stakeholder engagement, and strategic prioritization. In practice, this compressed timeline—combined with varying levels of state and local capacity and differing priorities—resulted in a wide range of approaches.

HOW OZs 1.0 WERE NOMINATED: THE LENSES THAT GOVERNORS USED

When Governors designated the first tranche of OZs, they selected from census tracts determined to be eligible by the Treasury Department. Some states publicly shared criteria and engaged stakeholders, while others sought minimal local or public input. The resulting designations were subsequently analyzed to assess underlying strategies and determinant

factors. Significant components in gubernatorial decision-making included geographic distribution within states, level of distress, investment readiness, clustering of eligible tracts, and local political alignments and relationships. Layered over these options was the balance of what Urban Institute described as ‘[need v. benefit](#)’, an evaluation of relative return on investment (ROI) at the tract level.

Geographic distribution

Nationally, 8,764 census tracts across all U.S. states and territories were designated as OZs, with 75% falling within metropolitan areas. With over 80% of the US population found in urbanized areas, the Urban Institute found no urban or rural bias in zone selection, writing, “In terms of this program, there appears to be no targeting on the basis of urbanization. There is no difference in the share of designated and eligible nondesignated tracts that are located in metropolitan areas, in micropolitan areas, or in non-core-based statistical areas.” As an example of a distributive method, Alabama’s Governor Kay Ivey [put at least one zone](#) in every county in the state.

Researchers were heartened by the designation’s reach into historically weaker markets. Studies examining the typologies of zones at the [metro level](#) found that “over three quarters (78 percent) ... are located outside the twenty-five most affluent metropolitan areas” with “the highest concentration of these zones is in the Upper Midwest (16 percent), followed by the Pacific West and South Atlantic (15 percent each).” In looking specifically at job-dense zones within metro areas, researchers found that almost half (48%) of the most job-dense OZs were in metropolitan areas with fewer than one million residents, showing the potential for impact in cities of varying size nation-wide.

Although program regulations allowed up to [5% of zone selections to be tracts adjacent to eligible tracts but not themselves eligible](#), only 2.6% were designated.

Level of distress

In a [2018 study of initial designations](#), Urban Institute found that “designated tracts do have lower incomes, higher poverty rates, and higher unemployment rates than eligible nondesignated tracts (and the US overall average, which is as-expected given eligibility criteria). Housing conditions trend in similar ways, with lower home values, rents, and homeownership rates. The designated tracts are also notably less white, and more Hispanic and Black than eligible nondesignated tracts. Age compositions are comparable. Education levels are somewhat lower among designated tracts than eligible nondesignated tracts.” [Brookings found that](#), on average, Governors had selected tracts above the minimum poverty rate, but still had included some tracts where poverty was at the legislative baseline, and may have included college towns with student populations skewing eligibility. [According to EIG](#), less than 4% of designated OZs were exhibiting

signs of socio-economic change, an indicator for gentrification and pre-existing development activity.

Political considerations

[A study by Franks, Hoopes, and Lester](#) found that Governors were on average 7.6% more likely to select a census tract as an OZ when the tract's state representative is a member of the governor's political party. This effect was in addition to local factors that already made these areas more likely to be selected, such as lower income levels and prior improvements in local conditions. The study found that selection of politically affiliated tracts was greatest in Republican-governed states, where the effect increases to 13.2%. However, this study also found that governors' use of proportional allocation across a state, and delegation of initial nominations to local authorities, offset the role of political affiliation.

Some states saw accusations of political favoritism in OZ designation. This fits within [a larger narrative](#) where sporadic but high-profile examples of luxury housing and hotel developments are occurring in OZs connected with prominent political figures. [OZ advocates argued](#) these were outlier developments not reflective of the penetration of investment in disadvantaged communities around the country.

Some jurisdictions sought public and/or local input into selection. [Washington State](#) developed a procedure for the public to nominate tracts, and [Missouri](#) collected formal feedback from local governments. [Washington DC](#) gathered public input on a subset of eligible tracts (selected to exclude outlier tracts with high student populations) through a survey, followed by engagement with advisory neighborhood commissions and council members. In parallel, DC analyzed data, considering recent investments, investment absorption potential, socioeconomic changes, and other factors at the census tract level.

Parallel efforts to shape Opportunity Zone designation and investment strategies

In response to the OZ 1.0 designation process, governmental, civic, and private actors sought to prepare local jurisdictions for the impact of designation, market their assets, and create support systems to maximize benefits and control against negative externalities.

After the Treasury Department and the IRS issued guidance on incentive requirements, the Office of the Controller of Currency weighed in with [recommendations](#) for how banks could aid OZ transactions through lending, brokerage, fund management, and investment. HUD published an [Opportunity Zone toolkit](#) in 2020, which highlighted state, city, and project-level promising practices. Some governors and other local officials sought to bolster capacity and control the economic development context in zones, designating coordinating agencies, and empowering local planning and economic development departments interacting with potential projects. Some states with [conforming tax codes](#), like Ohio, were able to offer additional incentives to investors,

described further below, which provided opportunities to capture OZ investment data. Some created or engaged [exchanges to bring together investors and opportunities](#) or worked with new and existing non-profit intermediaries to spark organization around the opportunity and facilitate investment (see Opportunity Alabama overview below), or to advise residents and local businesses on how to engage with OZ projects for community benefit.

Alongside state and local government, organizations like Council of Development Finance Agencies (CDFA) and Smart Growth America published resources and offered technical assistance to help local leaders understand and maximize the potential for OZ investment. Accelerator for America, who commissioned this review, developed the concept of an [investment prospectus](#) with Jeremy Nowak and Bruce Katz of The New Localism to help mayors organize their assets and attract investment. Local organizing, including trying to [matchmake between communities and impact investors](#), was a core tenet of inclusive growth strategies. [Community Equity Trusts](#) were offered as a potential vehicle for communities to take ownership of local investment. LISC issued a [playbook](#) for navigating OZs that highlighted complementary financing instruments and the prospectus approach. Enterprise applied its [Gentrification Comparison Tool](#) to evaluate tracts' eligibility to change in ways which might harm residents. National and local [philanthropies funded research and local organizing projects](#) and, in some cases, like the [Rockefeller](#) and [Kresge](#) Foundations, added their capital to funds and projects with the intent to maximize the positive community impact of OZ investments.

The variation in places designated as zones became a focal point for researchers seeking to understand the effectiveness of OZ designation. From the outset, the program embodied the tensions and tradeoffs inherent in federalist approaches to policy: by design, it provided flexibility and empowered state decision-makers to set the table by selecting tracts based on their priorities and gave private investors great latitude to make qualified investments. As the following sections explore, this foundational design choice shaped both the scale of investment mobilized under OZ 1.0, the uneven distribution of its impacts, and the limitations to studying its direct effects on communities.

OVERVIEW OF OZ 1.0 RESEARCH AND COMMENTARY

Characterized as one of the largest ongoing place-based economic development programs in U.S. history measured by private capital mobilized, OZs are viewed as an unquestionably powerful tool to attract capital investment with minimal friction from the regulations and rules typically associated with federal programs. Since its inception in 2017, supporters of the incentive have promoted its power to unleash capital from investors previously 'on the sidelines' and not actively seeking opportunities in disinvested communities. According to the most recent reports as of March 2026, OZs brought more than [\\$100B to more than 5,600 low income communities](#), increased new housing construction by 70% in designated areas, and created an estimated [416,290 new residential addresses](#). Earlier studies indicated that approximately one-third of zones received no investment, but recent analysis indicates that [72.4% of zones](#) within the 50

states and DC had received investment by the end of 2022. Bruce Katz, in his [New Localism newsletter](#), noted that Opportunity Zones could fill the gaps left in the community development toolkit, providing project-based investments more granular than urban-renewal-style, one-size-fits-all capital infusions without clear alignment to needs of existing residents.

At the same time, critics note that the market-based approach of the program was more fit-to-purpose for investors seeking capital gains tax reductions than for the communities the legislation was purported to serve. With a structure designed for private investors seeking to maximize return relative to risk without any requirements for specific community impacts, there is little incentive to put investor capital into deeply affordable housing projects or neighborhood-serving operating businesses. Some [argued the incentive cut against the promised outcomes](#) of the enabling legislation. The tension between the program's scale and its perceived lack of targeting and community involvement is a throughline from inception to present day.

Brett Theodos, Senior Fellow of the Urban Institute, has raised concerns about the incentive's structural mismatch with community impact goals. Theodos argued in [2019 testimony](#) before the House Committee on Small Business' subcommittee on Economic Growth, Tax, and Capital Access that, "there are opportunity cost to our Opportunity Zone spending"—with an estimated \$1.6 billion in capital gains taxes lost to the federal budget—and recommended the program be retooled. Theodos testified that Congress could reform the program to support community investment, including: giving preferential treatment to CDFI-controlled vehicles, as CDFIs are accustomed to taking on higher risks for lower financial returns than conventional investors; narrowing definitions of community needs for real estate projects, allowing only those investments that pass a "but for" test; restructuring the tax benefits to size the incentive based on the impact (ex. vary step-up basis by level of economic distress); broadening who can invest so that locals with an interest in the community can direct the capital and benefit from the investment returns; and requiring reporting.

Some researchers also highlighted that OZ selection did not seem to account for smart growth. A [LOCUS National Opportunity Zone Ranking Report](#) ranked designated zones by Smart Growth Potential and Social Equity + Vulnerability Index scores. The study found that most designated zones are low-density, car-dependent suburban areas with higher housing and transportation costs, greater greenhouse gas emissions, and lower quality of life, and highlighted a major concern that, without protective policies, could accelerate gentrification and displacement rather than benefiting existing residents.

Data Limitations

The OZ 1.0 enabling legislation has been criticized for its absence of federal reporting requirements for transaction-level data. The best direct source for tracking how the incentive has been used are IRS forms (8996, 8997, 8949), which provide basic information on QOF filings and reports on holding and gains deferred/eliminated, but are not regularly reported on in detail by the Treasury Department. The most recent accounting of how much was invested by state and sector was released by [The Joint Committee on Taxation](#) in 2024 based on 2019-2022 data. Accounting firms like Novagradac provide an important window into private market transactions, and valuable analysis and insights, but there continues to be an incomplete picture of the breadth and depth of investment.

This lack of data significantly constrains tracking amount, location, and project type of investments, rendering direct assessment of the universe of OZ 1.0 capital flows impossible across jurisdictional levels nationwide. Much of the existing literature relies on evaluating changes in communities via proxy measures—such as building permits, housing production, and property values—rather than direct observation of the results of OZ investment. This hampers downstream analysis on impacts of deals and projects, and potential outputs and outcomes of investment.

This lack of data is felt more strongly the closer one gets to the metro, city, neighborhood, and project levels. There appear to be no comprehensive or definitive studies of the impacts of OZ investment at the city or neighborhood level. Into this void, researchers and commentators have shared analysis and anecdotes on how cities organized themselves for OZ investment, how individual projects were financed, and how impact investors or developers approached projects. However, no jurisdiction-wide studies have emerged examining the key impacts of OZ investments, such as number of housing units created, impact on home values, job creation, or impacts on existing residents.

This makes it challenging to fairly evaluate designation strategies at the state level, critique the lenses governors used to evaluate and select tracts, and the efforts made by cities to promote some tracts over others for designation. The lack of transaction-level data also means that it is difficult to assess which project or business investments would not have happened ‘but for’ the OZ incentive, a common marker of efficacy in economic development.

This data gap is expected to be meaningfully improved through new reporting requirements in the enabling legislation to the reauthorization of the OZ incentive, but for the first ten years of the program, researchers will continue to rely on secondary data sources.

From the earliest years of the OZ program, [researchers debated what impacts could be measured](#) and when, including whether mere designation had market-making effects, and how to parse what projects would have happened anyway. Because reporting on specific investments was not required by the enabling legislation, researchers sought proxies to understand the scale of local investment, focusing on measurable impacts in OZ geographies, including amount and scale of residential and commercial development via building permits and number of housing units, housing and rental price appreciation, business and job creation, and effects on land value. Early assessments of OZ impact showed mixed or minimal impacts, including:

- Minimal to [no impact on growth home](#) prices in OZs
- No aggregate impact [on aggregate property prices and modest \(10 to 20% increases\) in renovated/redeveloped](#) or vacant land prices.
- No significant impact on [commercial investments and activity](#), beyond multi-family residential construction
- No increase in [job creation](#) (as measured by job postings) in OZs
- No significant increases in [employment, earnings, or reductions in poverty](#) among residents.

Others highlighted the [challenge of evaluating place-based incentives](#) on the basis of hyperlocal impacts, when outbound spillover effects, inbound migration, and commuting patterns muddy the ability to measure effects at the tract-level, particularly without a longer time horizon. In a [New York Times op-ed](#), researchers from AEI argued that, despite good intentions, the incentive enabled investment to flow to tracts that were already improving economically, while leaving persistently poor places without the investment intended by the enabling legislation.

These early studies and assessments were challenged on the grounds that it was far too soon to judge the impacts of a program specifically designed to address poverty, jobs, and blight, deeply entrenched problems often evaluated through a generational lens. Researchers at EIG specifically questioned [how to extract lessons from OZs](#) when, by their judgment, insufficient time had passed to evaluate impact across key indicators of poverty, housing affordability, and employment. This critique spotlighted studies essentially measuring the impact of designation itself, because insufficient funding had flowed at the time of evaluation. EIG's critiques also highlighted the lack of sufficient longitudinal data to be able to properly evaluate local impacts amidst high heterogeneity of tract-level data, where a "no average effect" does not mean "no effect everywhere." Sorenson Impact Institute also [pushed back](#) on what they described as 'misconceptions' of OZs as benefitting investors more than communities and causing gentrification.

In an evaluation landscape that was data poor and anecdote reliant, Aaron Seybert of Kresge Foundation captured the frustration of many OZ observers in a 2019 blog post, stating "Both arguments have validity. Depending on your ideological, political, or economic interests, you can

pick the facts and examples around Opportunity Zones that most confirm your bias and dismiss the critiques you disagree with."

As the incentive matured, EIG pointed to more recent (post 2023) studies as more relevant for assessing the program's impacts, as they allowed for sufficient time for the investments to begin showing long-term effects. In a [March 2025 release](#), EIG highlighted that, between 2019 and 2024, census tracts designated as OZs saw an increase of 313,000 new residential addresses—roughly doubling their housing growth over that period. EIG expected this rate to accelerate in subsequent years. EIG wrote then, "OZ communities are now producing new housing faster than non-OZ communities—a major change in trajectory compared to their pre-designation trends. These areas accounted for 8.9 percent of all new residential addresses nationwide from Q3 2019 to Q3 2024, a 37 percent increase in share over the previous five-year period. But for the OZ incentive, designated communities would have instead shrunk to merely 4.9 percent of new residential addresses nationwide." EIG concluded that OZs are exceptionally cost-efficient, with a subsidy cost for new housing at roughly \$26,000 per residential address—a fraction of the cost of traditional housing programs. [EIG vigorously pushed back on the AEI NYT opinion piece](#), arguing that complaints about uneven investment across tracts were off-key amidst a national housing shortage.

Research into OZ 1.0 served as a prelude to our current moment, when increased distance and data will begin to be available to properly evaluate the potential impacts of the first round of OZ investment. At the same time, reporting requirements will begin on OZ 2.0 investments. Early research drew valuable lines of inquiry which surfaced themes that will be carried forward as more data and perspective becomes available.

EVALUATING OZS 1.0 TO INFORM 2.0: EMERGING THEMES

Drawing firm takeaways from the literature on OZ 1.0 is a balancing act of resisting sweeping conclusions while trying to surface promising practices. The term 'Goldilocks' was [used](#) to describe tracts which were 'just right', but the heterogeneity of tract market conditions, local economic development strategies and community determinants make isolating factors challenging. What we *do* know about 1.0 investment patterns follows:

Concentration in investment geography

While it is reported that over [72% of designated tracts](#) in US states and Washington DC saw some QOF investment, it appears that this investment was concentrated in faster-growing states and metros. As of December 2024, [Novagradc](#) found that planned investment tilted toward the most populous or fastest growing states and major metros, with surprising exceptions like Alabama showing strength.

Because it is challenging to map investment comprehensively at the state or metro level, researchers at Urban Institute and other institutions sought workarounds to understand

the local OZ landscape. They were aided by the state of Ohio, where a state tax incentive enhanced the attractiveness of OZ investment but also required reporting at the transaction level. This data provided a window into the subset of OZ investments from QOFs which applied for the state's companion incentive, providing insights which Urban believes are useful nationwide.

- Approximately one-third of designated OZs in Ohio received any investment between 2020 and 2024.
- Ohio investment was highly concentrated: 60% of OZ dollars flowed into just 2% of funded tracts. Over half the state's total OZ capital went to just nine tracts.
- Investment flowed mostly into [Cleveland and Columbus](#). Smaller metropolitan areas, micropolitan areas, and rural areas received much smaller shares of investment.

Despite national data indicating that nearly three-quarters of 1.0 tracts have received an investment, it is generally understood that the bulk of capital has gone to a significantly narrower set of geographies.

Adding strength to strength

[Investment disproportionately went towards places that already have more investments.](#)

According to Urban Institute, 75% of all OZ investment went into zones ranking in the top 20% of commercial investment activity—and more investment went to zones in higher-income and higher-educational-attainment counties, meaning that investment went where appreciation potential (and tax benefit) was greatest. Investment-readiness, not distress, was the strongest predictor of where capital landed, with high growth states and counties per capita and higher income OZ tracts with stronger fundamental economic profiles attracting higher levels of investment. This was unsurprising to researchers, considering the market-driven nature of the program and investor inclinations for highest returns and proven markets.

The Treasury Department's Office of Tax Analysis reported in May 2024 that the most populous states (California, Texas and New York) attracted the greatest aggregate qualified opportunity fund investments through 2022, but high-growth District of Columbia, Wyoming, Utah, and Arizona were highest on a per capita basis. An Urban Institute analysis of this report noted that "all zones except the very top see very low OZ investment levels, while roughly 75 percent of OZ investment goes into zones with the top 20 percent of commercial investment," with "faster-growing states attracting greater investment, and low- or no-growth states attracting little." Further, more OZ investment went to zones in counties with higher incomes and educational attainment—areas with higher potential for appreciation (which drives greater tax benefits to investors under the program).

Urban tracts attracted the vast majority of investment

Rural tracts attracted only [7% of investment](#). Even in states that designated a predominance of rural tracts, like [Texas](#), urban areas dominated in levels of investment. The reauthorization of OZs attempts to remedy this gap with additional incentives for rural investment.

Questions remain on the “but for” test

Some critics argued that OZs, as a place-based policy, were ineffective at attracting new capital and that many OZ investments would have been made even if the incentive was not provided. Writing in summer 2024, [Kevin Corinth and Naomi Feldman of AEI wrote](#), “Ultimately, Opportunity Zones were designed in a way that provided the largest tax incentives for investment that would have occurred anyway. Opportunity Zones also incentivized some investment that would not have otherwise occurred, but only if it had close to the rate of return it could have received outside the Opportunity Zone.” It should be noted, however, that the authors acknowledged concerns about evaluating the incentives’ effects on too short a time horizon.

Real estate, multi-family housing dominance

Roughly [75% of OZ capital went to real estate](#), with the vast majority of that investment going to multifamily residential. In a February 2026 working paper updating the 2025 release cited above, EIG highlighted OZ’s role in catalyzing housing development in a supply-constrained environment. [Making novel use of HUD data](#) sourced from U.S. Postal Service address counts, EIG found that “the OZ incentive increased new housing construction by 70 percent in these areas, generating more than 416,000 new residential addresses between 2019 and the first quarter of 2025.” The authors also found that “the new development and investment did not merely shift from nearby neighborhoods: For every 100 new residential addresses caused by the OZ incentive, roughly 97 represent net new supply that would not have been built in the absence of OZs.” Whether the large-scale investment in residential real estate had a positive impact on affordability is a question researchers continue to explore. While [Urban Institute](#) found that new OZ-financed units in Ohio rented at above-median rates, [EIG](#) has asserted that the infusion of multifamily housing has stabilized rents in some markets.

Operating business investment didn’t substantially materialize

Non-real-estate projects received less investment (and less attention from researchers). Current research estimates that [less than 3%](#) of OZ investments were made into operating businesses. Because OZ benefits are tied to capital gains and long hold periods, the incentive tends to favor investments that generate [predictable appreciation](#), like real estate, more so than financing businesses. Of course many real estate investments were

intended to spur business creation at varying scales across commercial and industrial properties and this preparation may prove foundational to next-stage business growth. It is [hoped](#) that in OZ 2.0, Treasury guidance will encourage business investment by adjusting substantial improvement requirements and allow for interim capital gains to be reinvested in other businesses within OZs to recycle patient capital.

Jury out on jobs

Overall, as investments in operating businesses severely lagged those in real estate, job creation outside of development and construction was viewed as an afterthought, a casualty or a lagging indicator. A [2021 study](#) by Brookings argued that, "in its first two years, the OZ designation increased employment growth relative to comparable tracts by between 3.0 and 4.5 percentage points in metropolitan areas. The job growth occurred in multiple industries and persisted into 2021 rather than quickly disappearing. However, most of the jobs created by the program were likely taken by residents who live outside of the designated tracts, consistent with only 5% of US residents working in the same Census tract as the one in which they live." A follow-up [2023 study](#) by the same authors indicated that job creation linked to OZ investments delivered few benefits to local residents, as most new positions were filled by commuters rather than people living in the targeted communities. Again, these studies were criticized for evaluating OZ impact before investment and resultant development had sufficient time to shape communities.

[Understanding the Employment Impacts of Opportunity Zones](#), a 2025 paper by Freedman, Koucheikinia and Neumark and published by the National Bureau of Economic Research, evaluated labor market impacts in OZs and found that OZs have limited benefits for existing residents of targeted areas and are associated mainly with a spatial reallocation of jobs and households, and that while they anticipate OZ employment increases, this is associated with workspaces outside outside of OZs, which may mean jobs are held by new residents of the designated tracts, falling short of the OZ policy goal that new jobs would create ladders of opportunity for members of disinvested communities.

Traditional community development was challenged

In a [2020 assessment](#) drawn from 70 interviews with practitioners nationally, Urban Institute documented that mission-oriented and community developers and CDFIs had difficulty engaging with the program because of disconnects with QOF investor communities and development goals incongruous with expectations for market-rate returns by most OZ investors.

By 2025, as Congress considered extending or making the program permanent, observers appraised its results with an eye to influencing new regulations and designation requirements. Supporters were buoyant over the results of OZ 1.0 and the prospects for round two. Channeling

this enthusiasm in [writing for ULI](#). Brad Vogelsmeyer said “This innovative initiative not only helps rebuild communities but is a win-win for residents, property developers, and investors. The program’s success in transforming economically distressed areas has proven its value, making it crucial for industry leaders to continue supporting it...In less than a decade, OZs have reversed the downward trajectories in many targeted communities by allowing private stakeholders to do the heavy financial lifting.” The market-based approach was felt by proponents to hold advantage over public-led strategies, giving flexibility to developers rather than a “one-size-fits-all government program,” making development more responsive to market needs and more financially viable.

At the same time, critics highlighted OZ 1.0’s perceived shortcomings: its market-driven structure; its give-away of tax dollars; a lack of regulatory or reporting framework; lack of targeting to areas of greatest need, concentration in tracts with best market conditions, and failure to catalyze investment in operating businesses. This structural critique was captured by [Arnold Ventures](#), writing in 2025 and referencing the then-available data: “63 percent of eligible census tracts received zero investment, while 78 percent of all investment flowed to just 5 percent of zones,” concluding that Opportunity Zones suffer from fundamental design flaws and represent a misallocation of public resources. “Addressing entrenched poverty”, they argued, “requires comprehensive investments in human capital and public goods rather than place-based tax incentives that prioritize investor returns over resident well-being.”

ALIGNMENT WITH OTHER PLACE-BASED INCENTIVES

While OZs represented a market-based approach unencumbered by the qualifying and reporting complexities of legacy tax credit programs, some researchers reminded that OZs should be [viewed alongside](#) or as a complement to other place-based economic development tools, particularly NMTC, because of shared goals and target geographies. Indeed, while QOFs provide equity investment, NMTC is often used to provide debt financing, making them potentially complementary financial instruments. In fact, more than [97% of OZ-designated tracts are also eligible for NMTC investment](#), creating significant potential for layering incentives.

However, pairing can be [challenging](#) due to mismatched investor goals, varied compliance timelines, and regulatory requirements that stagger timelines. The two programs differ in important ways that shape how and where capital flows. Unlike NMTC, which allocates a capped amount of tax credits through a competitive, federally administered process, OZ investment is uncapped and driven entirely by private investors. OZ incentives are also realized [primarily on the back end](#)—after investments generate gains and are held long term—whereas NMTC provides upfront tax credits. Additionally, NMTC projects typically require oversight structures, including community development expertise, while OZs have [no comparable requirement for governance or community input](#). The differences in incentive structure can create a [mismatch](#) in market-type and timing: A 2025 study, [The Targeting of Place-Based Policies: The New Market](#)

[Tax Credit versus Opportunity Zones](#) affirmed that OZs tend to attract more investment in areas with higher pre-existing private investment, often within the highest growth areas in the country, and contrasted with tracts which lacked investment from OZs or NMTC, which generally attracted less private investment and were slower growing, indicating more must be done to bring OZ investment to eligible tracts with poorer market conditions.

The sheer scale and frictionlessness of the OZ transaction when compared to the government approval process to utilize NMTC was acknowledged as putting OZs in a class of their own, but with fewer safeguards to ensure alignment with community needs. What is still not known is how many Community Development Entities (CDEs) created QOFs while also working with NMTC, an area for greater study in OZ 2.0.

With 2.0 designations slated to begin, questions remain about how to fully leverage synergies between the incentives. With both [now a permanent fixture of the tax code, practitioners](#) are at the beginning of the process to understand how to structure projects to take advantage of each and [align incentives](#) where possible.

CHANGES IN OZ 2.0

Under the permanent reauthorization authorized by the [One Big Beautiful Bill Act](#) (OBBBA), existing designations from 2018 will remain in effect through December 31, 2028, while a new round of zone nominations is scheduled to begin July 1, 2026, with a deadline for governors to make selections by September 28, 2026. The new zone designations are expected to take effect January 1, 2027, following certification by the Treasury Department. While the core structure of the incentive remains intact, several policy changes will shape how Opportunity Zones operate in their next phase. Eligibility criteria have been tightened through a more restrictive definition of “Low Income Community,” reducing the total number of eligible tracts from [8,764 to approximately 6,300–6,500](#). The legislation also places [greater emphasis on rural investment](#) by introducing enhanced incentives, while eliminating the use of adjacency as a designation criteria, which allowed some higher-performing areas to qualify based on proximity rather than need in OZ 1.0. These changes reflect an effort to address some of the critiques of OZ 1.0, particularly around targeting and geographic equity.

Opportunity Zones 1.0 vs. 2.0

	OZ 1.0 (2017–2026)	OZ 2.0 (Starting 2027)
Program Structure	One-Time Census Tract Designation	Program now permanent; Designations every 10 Years (2027, 2037, 2047, etc.)
Governor Nomination Process and Criteria	Governors could nominate up to 25% of eligible LIC tracts; up to 5% could be non-LIC contiguous tracts meeting $\leq 125\%$ median income criteria	Governors can nominate up to 25% of eligible LIC tracts; longer lead up to designation and selection window than 1.0.
"Low Income Community" (LIC) Definition	Poverty rate $\geq 20\%$, Median family income $\leq 80\%$ of metro/non-metro median	Tightened: Must meet either: (a) median family income $\leq 70\%$ of area MFI, or (b) poverty rate $\geq 20\%$ and MFI $\leq 125\%$ of area median.
# of Zones	8,764	To be Determined in 2026 (Estimated ~6,500)
Basis Step-Up	10% (Holding Period: At 5 Years); Only if invested by 12/31/21 plus an additional 5% (15%) (Holding Period: At 7 Years); Available only if invested by 12/31/21	10% (Holding Period: At 5 Years); 30% for QROF Investments in Rural Areas (Holding Period: At 5 Years)

Rural Investments	No preferential incentive for rural tracts	30% Step-Up in Basis after 10 Years + 50% Substantial Improvement Threshold (instead of 100%) for Qualified Rural Opportunity Funds (QROFs).
Reporting	Self-certification and capital gain reporting	QOFs will be required to disclose information on their investments, including the names and addresses of Qualified Opportunity Zone Businesses (QOZBs), NAICS codes, the number of residential units created, and employee counts associated with each investment. Additionally, U.S. Treasury will be mandated to publish annual public reports summarizing QOF activity, including total assets, investment locations, and key impact metrics such as employment and housing production.

For the most detailed comparison, view [HUD's 1.0 v. 2.0 chart](#) or [Novogradac's overview](#).

With reauthorization came initial recommendations for how governors and mayors should approach designation. EIG released a [guide](#) for Mayors and Governors in November 2025, advising leaders to get ahead of the designation process by setting an economic vision, designating a coordinating entity to manage strategic engagement and aligning tools and incentives while committing to a transparent, data informed process. Urban Institute published a map-based selection advisory tool enabling users to see tracts organized according to their potential to attract OZ investment and have greatest community benefit, based on a formula drawn from Urban's detailed analysis of Ohio OZ investment. Frances Kern Mennone of Frost Brown Todd published selection [best practices](#) for Governors in November 2025, containing specific and novel advice for selection related to past performance, area median income thresholds, disaster recovery needs, and redesignation of current zones. Jess Myers of TIP Strategies, a Texas-based consultancy offered OZ 2.0 [advice](#), including using the prospectus model described above. Greg Heller of Guidehouse also endorsed the prospectus approach and [encouraged using a checklist](#) including optimizing projects for OZ investment, aligning capital well before deadlines and thinking regionally by coordinating your pitch across jurisdictional lines. HR&A's Sharon Carney [advised](#) balancing need and opportunity by engaging local communities, identifying opportunities to advance public economic development projects, and creating a policy environment to support investment without displacement.

EXAMPLES OF DIFFERENT CITY AND STATE APPROACHES TO OZs

As noted above, there are no comprehensive studies of how different states approached designation and capital attraction and the impacts on investment in their communities, making it difficult to parse great strategy from economic fundamentals which catalyze investment. However, intentionality on the part of state and local officials, and strategies guided by local planning, and incentives are perceived as producing better projects aligned with community interests: the importance of using [state and local levers to maximize investment](#) was a major theme. Some states and cities were seen as first-movers because of how they organized and aligned incentives and capital, created dedicated capacity within state agencies, and encouraged local communities to prepare, with a best practice to 'declare yourself investment-ready.' Others received attention because of the novelty of OZ investment in places which had not received previous interest from notional investors, or because of innovations in their approach for organizing and connecting communities and capital, or for the accessibility of data because of incentive structures which encouraged greater transparency in terms of investment size and location.

Ohio

Ohio provided a window into a statewide OZ landscape because of its use of a state tax incentive which required project-level data disclosure, which [Urban Institute used to analyze the types and size of projects](#) in municipalities across the state, as well as inform selection of new zones in 2026. The study reflected national trends in real estate, particularly mixed-use and multifamily

rental residential development, as the dominant project type, with the vast majority of rents priced above median. Ohio's success in capturing project level data suggests that states and local jurisdictions should consider adding similar requirements to any local or state incentives designed to be complementary to OZs.

Alabama

A focus because of its intermediary model, where a new non-profit, [Opportunity Alabama \(OPAL\)](#), received attention from researchers as well as national journalists for its state-wide strategy connecting local and national capital to investable projects. The organization was lauded for its catalytic role as a dealmaker, inspired leadership, and a management model that generates fees to support a sustainable organization working toward long-term growth. OPAL's success was also enabled by the presence of a state-based strategy and infrastructure for attracting capital. OPAL was notable for its [strategy to attract local capital before pursuing national capital](#). It provided a window into the particular challenges of rural deals because of lack of supportive assets in many rural places. Alabama was also notable for its Incentives Modernization Act governing state-certified Opportunity Funds which meet specific impact investing standards and can receive state capital gains tax benefits on Opportunity Zone investments and seek investment from 10 state pension funds, and are eligible for a \$50 million tax credit pool to offset losses and guarantee returns on [mission-oriented projects](#).

Michigan

The state highlighted OZ-funded projects in [Detroit, Lansing and Bay City](#) which showed replicable models for achieving important community goals such as reactivating formerly industrial buildings and brownfields in distressed neighborhoods, providing public benefits like access to fresh food through a public market, and making new public infrastructure investments in street grids, riverfront trails, and boardwalks.

Colorado

In 2019, Colorado held public engagement [meetings](#) and published a [framework](#) for how the state was approaching Opportunity Zones, flagging local considerations. In 2023, the Colorado Sun covered the impacts of \$1 billion in investments in OZ's on the state, which ranked second in percentage of zones (75%) that received investment at the 5-year mark of the program. The [summary](#) highlighted a series of community-impact projects, including the adaptive reuse of a hotel for housing and the expansion of broadband through an investment by Arctaris. Colorado has also articulated its 2.0 strategy for 'goldilocks' zones and increased investment in business via TV news [interviews](#) and in engagement meetings around the state.

Texas

Texas institutions expressed early concern about the potential risks of OZ investment. In October 2018, the Dallas Fed published an [analysis](#) of 1.0 selections by Governor Greg Abbott for demographic and geographic distribution, highlighting the preponderance of rural zones, and flagging concerns rooted in literature around possible gentrification in some tracts. Building on a series of reports on gentrification in the sun belt, the Kinder Institute at Rice continued this inquiry, concluding that OZ designation would have [impacts on gentrification](#) across neighborhoods on the east side of Houston. These early studies have not been revisited to determine longer-term impacts. However, as Texas prepares for its [next round of nominations](#), an [explainer from](#) Texas A&M's Texas Real Estate Research Center weighed in to explore the changes in OZ 2.0, particularly in relation to rural OZs and hoped for improved investment outcomes.

In addition, many states now have a portal or webpage describing their OZ 1.0 designations and 2.0 selection criteria and tract nomination forms. Examples include [Texas](#), [Florida](#), [Colorado](#), and [Tennessee](#). Novogradac published [profiles](#) on first mover states as of March 12, 2026.

City, neighborhood, and project-based profiles

- [Erie, PA](#) was touted as a city highly prepared for Opportunity Zone investment through its Erie Downtown Development Corporation (EDCC). EDCC focused on organizing capital and projects, as well as a \$50M Opportunity Fund led by anchor corporation Erie Insurance. In its first operational year (2018), [EDCC underutilized mixed-use property](#) and worked with national investment funds, philanthropic organizations, and planners to leverage investment through Opportunity Funds in the Downtown. Mike Kelly, US representative from Erie, wrote in a [Go Erie March 2026 op-ed](#), “To date, Opportunity Zones have spurred more than \$150 million in private-dollar investment in downtown Erie with OZs generating more than \$450 million in additional long-term capital investment.”
- [Salt Lake City](#) demonstrated how local agencies can work with industry and developers to leverage the OZ incentive for commercial, residential, and public benefit goals. An industrial business moved to a more appropriate location, unlocking the potential for a mixed-use, mixed-income development, including affordable housing, proximate to the city's new downtown arena. The city's redevelopment authority provided financing for repurposing the formerly industrial building and infrastructure improvements, including new streets and walkways.
- Birmingham received attention as a city-level demonstration for the overall state-wide work of OPAL, including a notable [workforce housing project](#) and [theater revitalization](#).
- [Chicago](#) was the subject of an exploration of potential risks for displacement in its opportunity zones.
- [Golaski Labs](#), a mixed-use development by Mosaic Development, a Black-owned development firm, leveraged OZ investment for the adaptive reuse of a vacant warehouse

in Philadelphia's Germantown neighborhood. The former warehouse is now home to mixed-income residences and community-based businesses.

- Seattle's [Atrium Court](#) is a transit-oriented project that brings 271 new apartment homes for working families and community-serving retail to one of South Seattle's most diverse communities. The development was financed through a public-private partnership including a \$15 million equity investment from a QOF and a \$16 million below-market loan from Amazon's housing fund. The project was co-sponsored by O.Z. Navigator, a partnership focused on long-term community benefit in Seattle's Opportunity Zones.
- Minneapolis' [Opportunity Crossing](#) is a mixed-use, 110-unit affordable housing development (at 50% of AMI) with multiple retail condos on the site of a Wells Fargo branch which burned in the civil unrest following the murder of George Floyd. This development paired LIHTC and OZ capital and began leasing in 2026.
- Housing Solutions Lab documented the [following cases](#):
 - Charleston, SC, adopted local rules in December 2019 to incentivize affordable housing development in Opportunity Zones, granting qualifying projects unlimited residential density, reduced parking requirements, and expedited approvals. Among these is an ongoing \$44 million project called One80 Place—a housing development and homeless shelter led by the Charleston-based homeless prevention center—that will provide 70 affordable units and 65 shelter beds to the community.
 - Cleveland, OH, has allocated \$50 million in loans to support Opportunity Zone projects across Cuyahoga County's 64 designated tracts through its Opportunity CLE initiative. Using a scorecard to evaluate job creation, affordable housing, local workforce engagement, and community impact, the program has supported projects such as The Tappan, a mixed-use project featuring 95 affordable housing units and small business commercial space, and over 100 projected new jobs.
 - Birmingham, AL, launched the Birmingham Inclusive Growth (BIG) Partnership in April 2019 to promote Opportunity Zone investment. Guided by local business and civic leaders, the partnership prioritizes local investment opportunities. A notable project is the redevelopment of the long-vacant American Life Building into 140 workforce housing units, including five no-cost rentals supported by a local workforce development nonprofit, The Dannon Project.
 - Chicago, IL, completed Hope Manor Village, a 36-unit affordable housing development in the city's South Side Englewood neighborhood—a Qualified Opportunity Zone. The development, funded by Opportunity Zone investment from the National Equity Fund and Fifth Third Bank, indicates a veteran preference, targeting the local homeless veteran population.
 - Flagstaff, AZ, completed the Kachina Village Affordable Housing project, a group of energy-efficient homes, each to sell below \$290,000 or rent under \$1,600. This project was developed by the Qualified Opportunity Fund AspireFund, which

raised \$1,000,000 for the initiative. At the time of development, the median sale price for homes in the surrounding area was \$432,500.

- EIG's [activity map](#) provides brief summaries of project profiles nationwide, including mixed-use, mixed income projects in [Cleveland](#), [Orlando](#) and [Frederick, MD](#), developed in partnership with the National Council of State Housing Agencies. Profiles include details of the program and capital stacks which made them possible.

LOOKING AHEAD

As we gain additional distance from the first tranche of opportunity zone investments, researchers are interested to see the above mentioned studies replicated with additional longitudinal data to further inform evaluation of the incentive's performance and local impact. In parallel, the next round of Opportunity Zone Investments and its new reporting requirements will provide much deeper insights into the incentive's use and how it can be deployed for public benefit in its designated footprint as well as spinoff effects in adjacent places and across metro economies.

Researchers are also eager to see the effects of the tool being made permanent. This could create incentives for investors to make long term commitment to transforming communities, knowing that they may be able to make multiple investments over years building toward a longer term outcome, especially since some OZs may be eligible to be redesignated in 10 years. This may also make the longer term economic growth strategies of state and local governments more important, as they attempt to channel and direct long-term OZ capital towards community priorities. It is also anticipated that we'll learn much about how local leaders can attract investment in the next round in how they promote their assets at the regional, city and tract level, and how pipelines of projects align with investor interest. The timing of the incentive's permanence with the largest transfer of wealth in history means the potential impact for underinvested communities to harness wealth—particularly in attracting local wealth, often outsourced to national or global portfolios, to instead look closer to home—could not be greater.

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